CLOSING STATEMENT

Falcon Lodge | Memphis, TN

Property	Falcon Lodge
Settlement Date	February 12, 2018
Buyer	Granite Lane Realty
Seller	Midlands Property Trust
Sale Price	$34,820,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$34,820,000			
Earnest money deposit		$175,986	$175,986	
Real estate tax proration	$147,062			$147,062
Rent proration			$332,929	
Security deposits assumed	$231,321	$231,321		
Prepaid rents			$235,754	$235,754
Owner's title policy premium	$8,100			
Lender's title policy premium		$115,762	$115,762	
Escrow fee	$322,127			$322,127
Recording fees			$75,367	
Transfer tax	$192,649	$192,649		
Survey			$259,596	$259,596
Legal fees - Buyer	$13,169			
Legal fees - Seller		$143,456	$143,456	
Broker commission	$160,076			$160,076
Loan origination fee			$246,945	
Lender legal	$70,370	$70,370		
Appraisal fee			$70,519	$70,519
Environmental report	$208,004			
Property condition report		$314,402	$314,402	
Tax escrow deposit	$290,980			$290,980
Insurance escrow deposit			$240,713	
Replacement reserve deposit	$249,023	$249,023		

Report generated 02/12/2018. Figures are unaudited and subject to change.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$34,820,000			
Legal fees - Seller		$340,317	$340,317	
Broker commission	$225,199			$225,199
Loan origination fee			$129,471	
Lender legal	$180,541	$180,541		
Appraisal fee			$315,025	$315,025
Environmental report	$267,896			
Property condition report		$187,360	$187,360	
Tax escrow deposit	$47,310			$47,310
Insurance escrow deposit			$332,921	
Replacement reserve deposit	$184,198	$184,198		
Utility deposits			$55,091	$55,091
Assumed vendor contracts credit	$168,899			
Tenant improvement credit		$300,109	$300,109	
Courier / wire fees	$117,121			$117,121
Municipal certificates			$40,318	
Purchase price	$220,218	$220,218		
Earnest money deposit			$118,366	$118,366
Real estate tax proration	$166,260			
Rent proration		$323,781	$323,781	
Security deposits assumed	$70,607			$70,607
Prepaid rents			$188,079	
Owner's title policy premium	$327,184	$327,184		
Lender's title policy premium			$100,292	$100,292
Escrow fee	$123,044			
Recording fees		$274,878	$274,878	
Transfer tax	$332,079			$332,079
Survey			$301,070	

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 48 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $295,000 or approximately 32.38 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.75x on a trailing basis against a covenant minimum of 1.20x. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 91.3% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Operating Performance

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Trailing twelve-month occupancy was 92.3% with an average daily rate of $202 and RevPAR indexing above the competitive set.

Trailing twelve-month occupancy was 91.6% with an average daily rate of $202 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 18 meeting rooms. Operating expenses totaled $440,000 or approximately 39.55 per square foot, with real estate taxes representing the largest line item.

Operating Performance

Operating expenses totaled $384,000 or approximately 7.04 per square foot, with real estate taxes representing the largest line item. Trailing twelve-month occupancy was 93.0% with an average daily rate of $202 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. The going-in capitalization rate of 7.63% reflects the in-place income and the stabilized occupancy assumption. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 23 meeting rooms.

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Operating expenses totaled $417,000 or approximately 27.65 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.71% reflects the in-place income and the stabilized occupancy assumption.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$34,820,000			
Tenant improvement credit		$314,080	$314,080	
Courier / wire fees	$326,350			$326,350
Municipal certificates			$57,460	
Purchase price	$264,889	$264,889		
Earnest money deposit			$77,504	$77,504
Real estate tax proration	$147,919			
Rent proration		$44,147	$44,147	
Security deposits assumed	$261,670			$261,670
Prepaid rents			$73,780	
Owner's title policy premium	$343,753	$343,753		
Lender's title policy premium			$196,230	$196,230
Escrow fee	$161,460			
Recording fees		$308,816	$308,816	
Transfer tax	$42,621			$42,621
Survey			$125,796	
Legal fees - Buyer	$231,193	$231,193		
Legal fees - Seller			$165,773	$165,773
Broker commission	$250,008			
Loan origination fee		$190,528	$190,528	
Lender legal	$304,619			$304,619
Appraisal fee			$173,805	
Environmental report	$288,889	$288,889		
Property condition report			$44,049	$44,049
Tax escrow deposit	$255,936			
Insurance escrow deposit		$144,858	$144,858	
Replacement reserve deposit	$222,310			$222,310
Utility deposits			$294,682	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Falcon Lodge Owner LLC

By: Elena Jackson Title: Managing Member Date: 02/12/2018

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Jerome Underwood

By: Chloe Coleman Title: Managing Member Date: 02/12/2018

Exhibit A - Property

Falcon Lodge, 886 Quarry Drive, Memphis, TN 66503. Parcel containing approximately 4.29 acres, together with all improvements thereon.

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